Deprivation Due to Unemployment	Number	Page
	41-400.D	1 of 3

Revision Date:
August 1, 2024

Background:
Deprivation of parental support or care is a separate and specific eligibility factor for CalWORKs. A child's deprivation is based on the status of their natural or adoptive parent(s). There is no CalWORKs eligibility unless deprivation requirements are met.

Purpose:
This section outlines the CalWORKs policies on deprivation due to unemployment. The purpose of this revision is for sunset review and reformatting to current standards. There is no policy change. This revision also combines previous sections of the CalWORKs Program Guide (CPG) 41-400.D and 41-400.E into one section. Additionally, specific situational examples were removed from the CPG, and a desk aid was created.

Policy:
Deprivation due to unemployment exists when the parent, in a two parent case, who is determined to be the Principal Earner (PE) meets the definition of unemployed or underemployed whether the individual is included or excluded from the Assistance Unit (AU) and the child(ren) would otherwise be deprived except that neither of the parents is deceased, incapacitated or absent from the home.

Principal Earner
In a home in which both parents of an eligible child are living, the PE is whichever parent earned the greater amount of income in the 24-month period prior to the date of eligibility for CalWORKs.

When both parents qualify as PE and have earned an identical amount of income in the 24-month period, the customers will designate which parent is the PE. Once the PE has been determined, the designated parent continues to be the PE for each consecutive month the family receives CalWORKs due to the unemployment deprivation.

Unemployed Parent (U-Parent)
An unemployed parent is defined as one of the natural or adoptive parents with whom the child is living, who is designated as the PE, and meets one of the following conditions:

- Is not employed.
- Is employed less than 100 hours during the four-week (28-day) period prior to the date of eligibility for CalWORKs.

Note: Unemployment deprivation can only be established due to the unemployment of the parent designated as the PE. The 100-hour policy does not apply to the parent who is not the PE.

Hours of Employment
The hours of employment is defined as the hours the customer spent providing a service or product, whether the customer is an employee or self-employed. Any hours spent working to acquire earned income, whether the customer receives the income or not, will be considered toward the 100-hours policy.

A self-employed individual is considered fully employed when working 100 hours or more per month. The 100 hours includes the time utilized for:

- Contracting for jobs.
- Making a product to be sold.
- Travel time to and from a job site.

Customers who are participating in an on-the-job (OJT) program or any similar work training activity, in which they are paid in a wage, are to be considered employed for the purpose of determining deprivation.

Requirements in Establishing Deprivation Due to Unemployment

To establish deprivation due to unemployment, the following requirements must be met:

- Unemployment of the PE.
  - The PE has worked less than 100 hours during the four-week (28-day) period prior to the date of eligibility. The four-week period is to be adjusted daily to determine the four-week period in which the PE worked less than 100 hours.

  Note: When a customer applies for CalWORKs who recently lost CalWORKs eligibility due to Expanded Subsidized Income (ESE), they will be considered a current recipient for the purpose of establishing unemployment deprivation if they apply within three calendar months of the end of the ESE assignment. During the three calendar months period after the ESE ends, the 100-hour rule is not applicable.
- The PE who is apparently eligible for Unemployment Insurance Benefits (UIB) must apply for and accept any UIB to which they are entitled. When the PE does not comply with this requirement, the unemployment deprivation does not exist for the family.

Note: The PE cannot be considered as unemployed due to their participation in a strike.

Refer to Desk Aid – *Unemployment Deprivation* for examples in establishing deprivation due to unemployment.

Change in Deprivation

A family's circumstances may change in such a way that deprivation needs to be reestablished. For example, the absent parent returns to the home, or a parent is no longer incapacitated. In such situations, the PE is to be determined, and hours of employment is determined according to the 100-hour policy. Refer to the following CalWORKs Processing Guides for examples of reported changes related to deprivation:

- 40-100.A3 – Treatment of Changes During the Application Process.
- 44-270.A1 – Semi-Annual Reporting (SAR) Procedures.

When deprivation changes to unemployment, the previously incapacitated or absent parent must be referred to Employment Services unless otherwise exempt.

Once deprivation due to unemployment has been determined at application, it is required to be re-established at SAR and annual redetermination.

Note: The 100-hour policy applies to applicants only. Once the AU is determined eligible for CalWORKs with deprivation due to unemployment, the AU is no longer subject to the 100-hour rule as long as they receive continued aid. For example, the PE reported at annual redetermination that their work hours exceeded 100 hours. The family may continue to receive aid regardless of the number of hours the PE works provided the family meets all other conditions of CalWORKs eligibility.

References:
Manual of Policies and Procedures (MPP) 41-440
All County Letter (ACL) 97-65, 12-25, 14-57

Sunset Date:
This policy will be reviewed for continuance by August 31, 2027.

Approval for Release:

8-6-24

Rick Wanne, Director
Self-Sufficiency Services